



HY 2020 Financial Results



Opening Remarks

Mr. Michael Joseph
Chairman



Overview of Aviation in 2020: Global & Africa

Allan Kilavuka
Group Managing Director
& Chief Executive Officer

Global Aviation: Coronavirus (COVID-19)

Passenger & Freight Traffic

54.7%

Drop in RPK

30%

Cargo yield growth

\$80B

Net Loss

5%

Drop in global GDP due to
COVID-19

Global Aviation: Coronavirus (COVID-19)

Impact on the Industry



60% of
Passenger
jets
Grounded



Over
USD127Bn
in Government
financial aid



32 million
jobs at risk



Fast depleting
Cash reserves



Loss of
revenues



43% of the
world is closed
or partially
closed



Varied
Quarantine
requirements for
returning passe
ngers



Restricted
entry for
passengers
coming from
COVID-19
infected areas

Aviation in Africa

Impact on the Industry

50%

Drop in passenger traffic

\$ 2B

Net Loss

INTERNATIONAL
TOURIST DECLINE

OVER
3.1-3.4 m

Jobs at risk

AVIATION REFORMS

KQ Nationalisation
SAA developments
Air Mauritius

ICAO (August 2020): *Effects of Novel Coronavirus (COVID-19) on Civil Aviation: Economic Impact Analysis*. Canada.

Aviation in Africa

Passenger & Freight Traffic

Atleast

-13Bn

Drop in revenues.

Atleast

-79M

Drop in passenger
traffic

50.4%

Drop in Capacity

OVER

\$4.4B

Loss in revenue

ICAO (August 2020): *Effects of Novel Coronavirus (COVID-19) on Civil Aviation: Economic Impact Analysis*. Canada.



Managing the Business in the Pandemic

Allan Kilavuka
Group Managing Director
& Chief Executive Officer



Special Charter Flights

Humanitarian: Re-uniting families.

Reuniting Loved ones

- **31 flights**
- **4,634 passengers**



Cargo Operations

Keeping Africa's economy moving by linking products to markets

Flowers deliveries to Europe

1,200 tons

Foodstuffs to Europe, Middle East

2,600 tons



Supporting our Communities

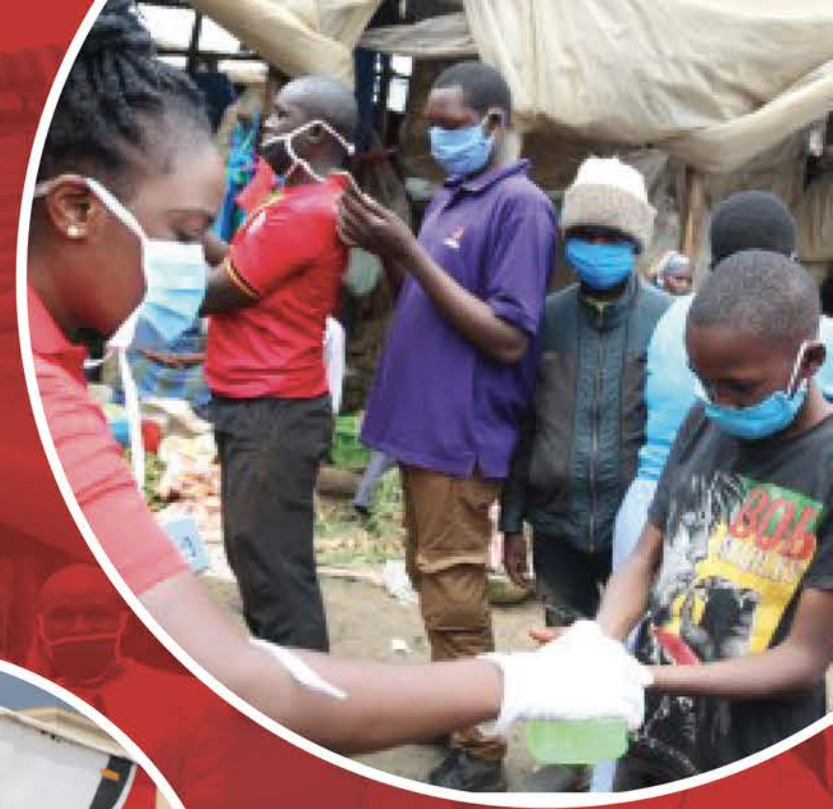
Innovation & sustainability

9,000+ masks produced for staff use
using obsolete materials

Sanitiser distribution

7,000+ litres

distributed by staff in Kayole,
Embakasi, Korogocho



Operational Highlights



-53%

Available Seat KMs
CY 3,722 mil
PY 8,002 mil



-56%

Passenger Numbers
CY 1.1 mil
PY 2,4 mil



Cabin Factor

CY **68%**

PY **75%**



-29%

Cargo Volumes
CY 22,451 Tonnes
PY 31,819 Tonnes



-49%

Block Hours
CY 41,596
PY 81,273



-48%

Turnover
CY Kes 30,214 mil
PY Kes 58,550 mil

Key

CY – Current Year

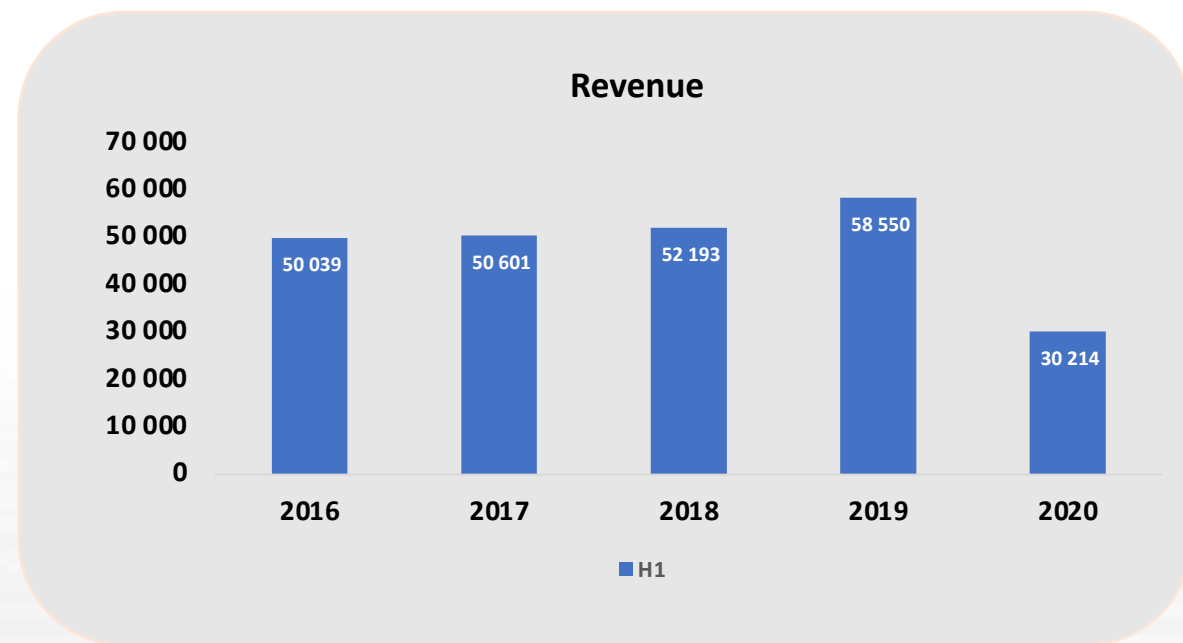
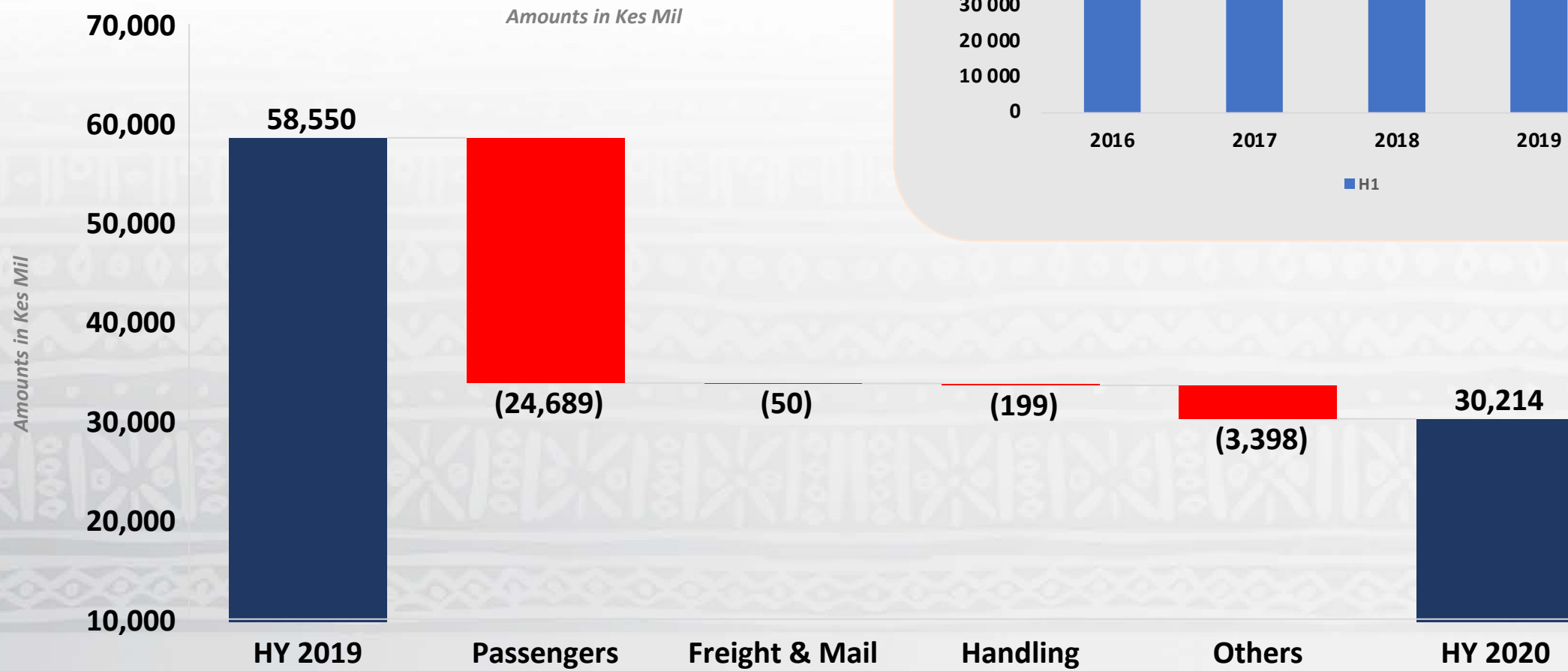
PY – Previous Year



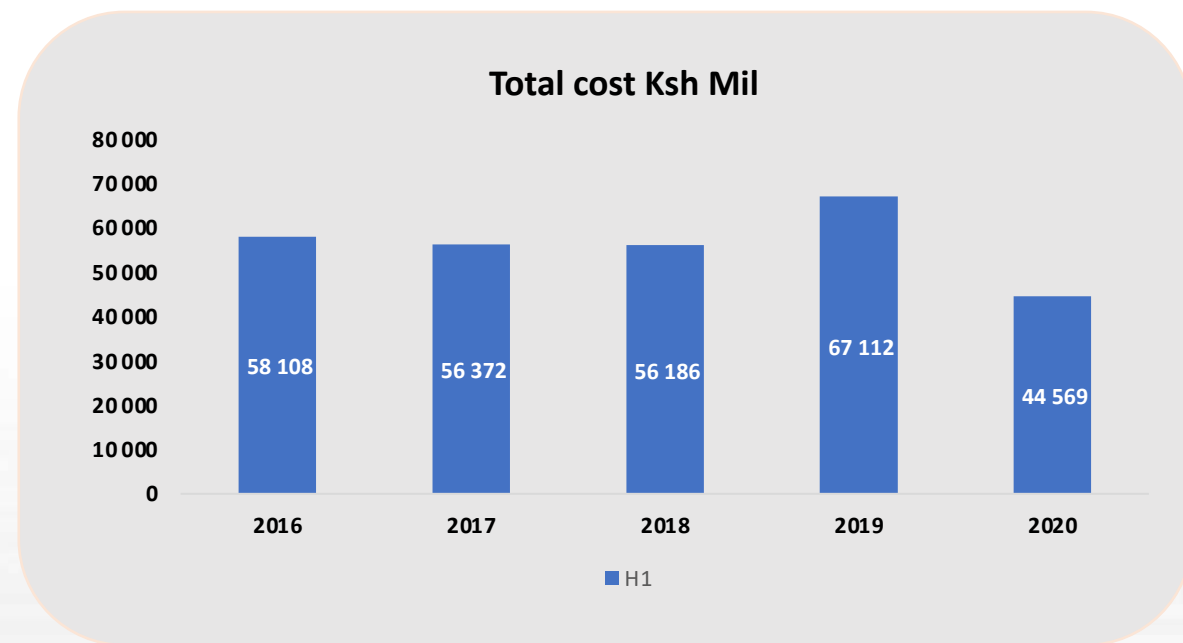
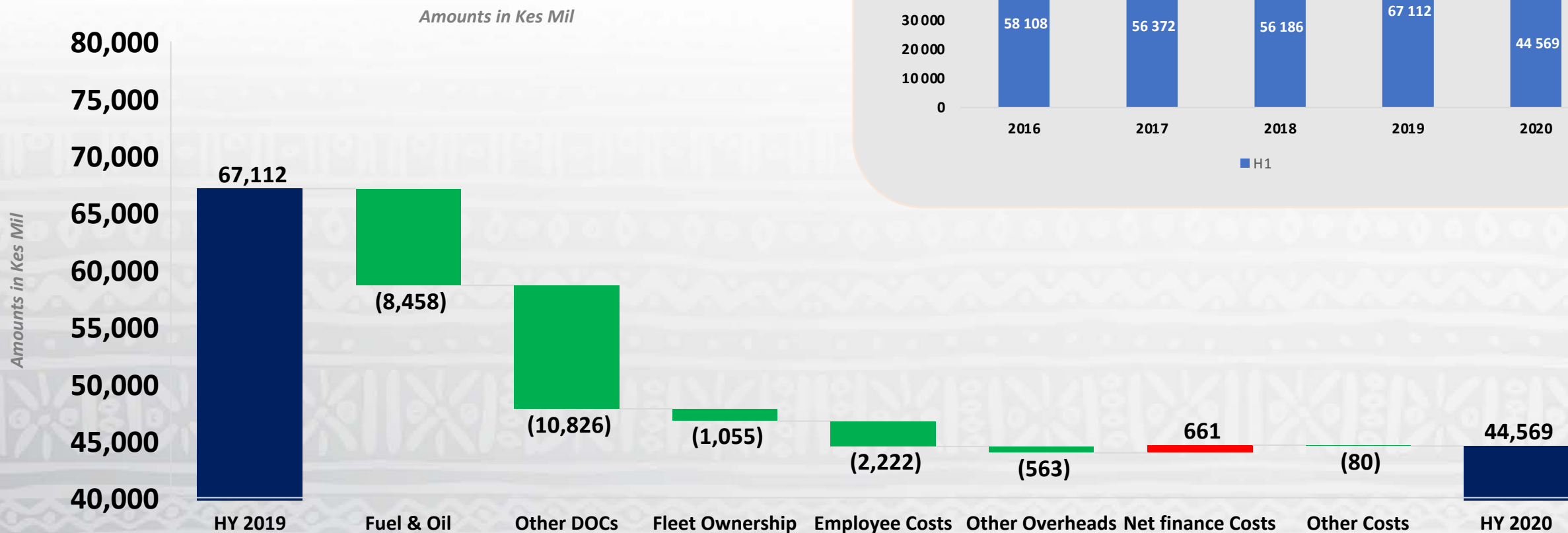
Financial Highlights

Hellen Mwariri
Chief Finance Officer

Turnover Trend

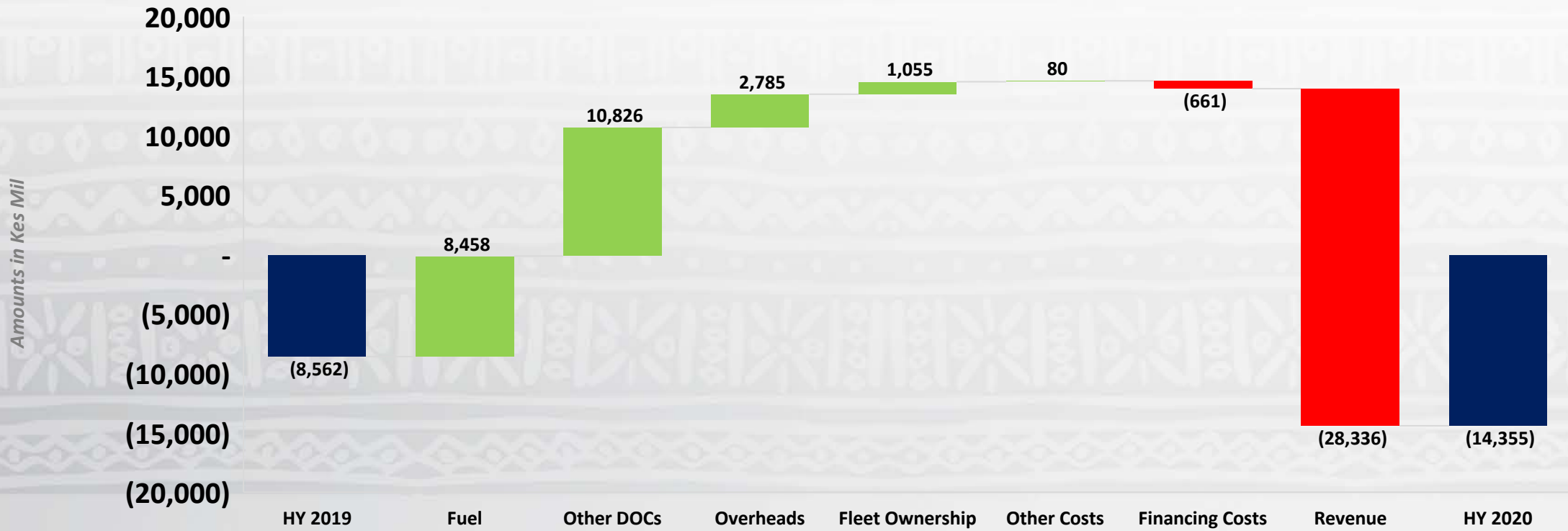


Cost Trend

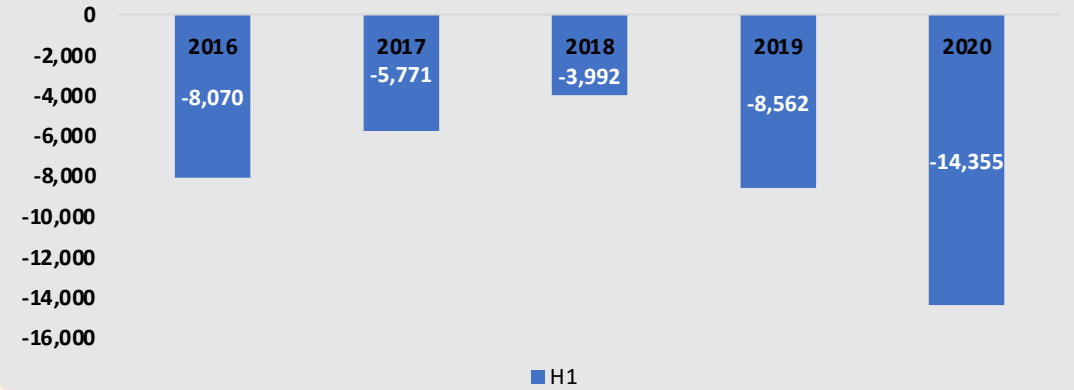


Profit Trend

Amounts in Kes Mil



Loss Before Tax Ksh Mil



Summary of Consolidated Income Statement

	Jun-20	Jun-19	
	KShs. Mil	KShs. Mil	Variance
Total Income	30,214	58,550	-48%
Total Operating Costs	(38,631)	(61,454)	37%
Operating Loss	(8,417)	(2,904)	-190%
Operating Margin %	-28%	-5%	
Other costs	(5,975)	(5,684)	-5%
Interest income	37	26	-42%
Loss before Tax	(14,355)	(8,562)	-68%
Taxation	29	(1)	-3046%
Net loss after tax	(14,326)	(8,563)	-67%
Net Margin %	(47.4)	(15)	

Summary of Consolidated Statement of Financial Position

	30 June 2020 KShs M	31 December 2019 KShs M
Assets		
Non-current assets	160,682	170,013
Current assets	19,287	25,660
TOTAL ASSETS	179,969	195,673
EQUITY AND LIABILITIES		
Equity attributable to owners	(38,966)	(17,946)
Non-controlling interest	53	50
TOTAL EQUITY	(38,913)	(17,896)
Liabilities		
Non - current liabilities	159,729	145,754
Current liabilities	59,153	67,815
	218,882	213,569
TOTAL EQUITY AND LIABILITIES	179,969	195,673

Summary of Consolidated statement of Cash flow

	30-Jun-2020 Ksh Mil	30-Jun-2019 Ksh Mil
Cashflows from operating activities		
Cash generated from operations	5,109	8,694
Interest Received	37	26
Interest Paid	(1,903)	(2,472)
Income Taxes Paid	(18)	(37)
Net cash generated from operating activities	3,225	6,211
Net cash generated from investing activities	(614)	(1,050)
Net cash used in financing activities	(4,434)	(7,363)
Decrease in cash & cash equivalents	1,823	2,202
Cash & Cash equiv at beginning	3,095	6,431
Cash & Cash equiv at end	1,272*	4,229

*Blocked funds: Kshs Mil 520



The Journey Ahead



Allan Kilavuka
Group Managing Director
& Chief Executive Officer

Safety first: Enhancing Health & Safety in a COVID World



Boarding

- Mandatory PPE for guests & staff
- Boarding by Zones
- Contactless boarding passes
- Baggage Handling by guests only
- Reduced movement of passengers onboard.



Safety

- Disinfected safety cards
- No magazines/newspapers
- No headphones
- No blankets
- Overnight kits in business class only



Meals – handling

- Crew are in PPE
- Meals are in disposable containers
- Service interaction between crew and guest is limited.



Duty Free – handling

- Pre-order online
- 1 crew handling.
- Cashless duty free payment (Credit Card/MPESA)



Cleaning

- The lavatories will be cleaned and disinfected.
- Cleaning crew in full PPE

Fewer destinations, Fewer frequencies

EUROPE
& USA

04

1ST AUG 20

Paris
London
Amsterdam

STARTING OCT 20
New York

INTRA-
AFRICA

22

1ST AUG 20

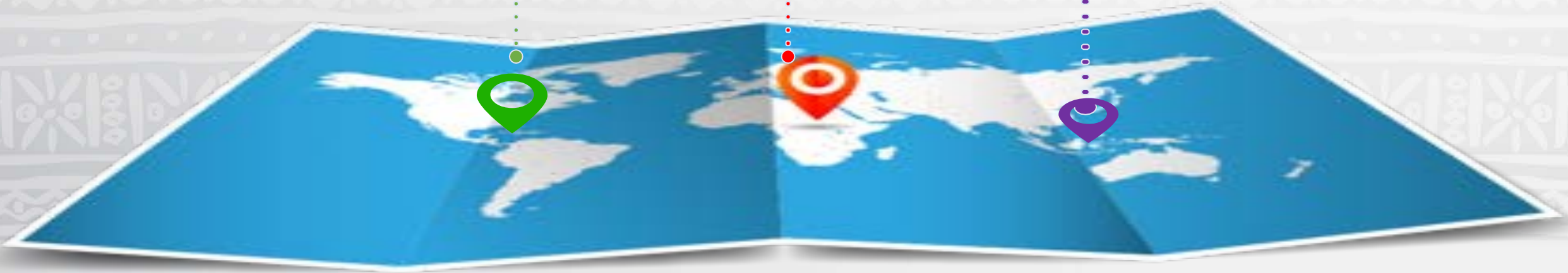
Kigali, Burundi, Addis, Juba,
Livingstone Vic Falls, Lusaka,
Harare, Dzaoudzi, Moroni,
Antananarivo, Accra, Free Town,
Monrovia, Abidjan, Dakar,
Yaoundé

04

1ST AUG 20
Dubai

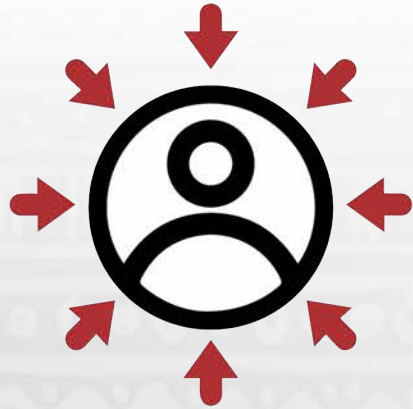
STARTING OCT 20
Bangkok

MIDDLE EAST
& ASIA



Recovery

Efficiency and Lower Cost



Customer

- *Partnerships*
- *Ancillary products*
- *Pricing & fares*



Digital

- *Harnessing data*
- *Customer reach*
- *Digital retail*



Diversify

- *Cargo*
- *Maintenance repair & overhaul*
- *Medical*
- *Academy*

Q&A

Asanteni